

Wexner, was Vercoe's sales manager back then. Halliday attributed the disinterest of Wall Street to the fact that Columbus, Ohio, was not exactly a corporate Mecca at the time.

A lone analyst (Susie Holmes of White, Weld) followed the company for a couple of years before a second analyst, Maggie Gilliam for First Boston, took official notice of The Limited in 1974. Even Maggie Gilliam might not have discovered it if she hadn't stumbled onto the Limited store at Chicago's Woodfield Mall during a snow emergency at O'Hare airport. To her credit, she paid attention to her amateur's edge.

The first institution which bought shares in The Limited was T. Rowe Price New Horizons Fund, and that was in the summer of 1975. By then there were one hundred Limited stores open for business across the country. Thousands of observant shoppers could have initiated their own coverage during this period. Still, by 1979, only two institutions owned Limited stock, accounting for 0.6 percent of the outstanding shares. Employees and executives in the company were heavy owners—usually a good sign, as we'll discuss later.

In 1981 there were four hundred Limited stores doing a thriving business and only six analysts followed the stock. This was seven years after Ms. Gilliam's discovery. By 1983, when the stock hit its intermittent high of \$9, long-term investors were up eighteenfold from 1979, when the shares had sold for 50 cents, adjusted for splits.

Yes, I know that the price fell nearly in half, to \$5 a share in 1984, but the company was still doing well, so that gave investors another chance to buy in. (As I'll explain in later chapters, if a stock is down but the fundamentals are positive, it's best to hold on and even better to buy more.) It wasn't until 1985, with the stock back up to \$15, that analysts joined the celebration. In fact, they were falling all over one another to put The Limited on their buy lists, and aggressive institutional buying helped send the shares on a ride all the way up to \$52⁷/₈—way beyond what the fundamentals would have justified. By then, there were more than thirty analysts on the trail (thirty-seven as of this writing), and many had arrived just in time to see The Limited drop off the edge.

My favorite funeral home company, Service Corporation International, had its first public offering in 1969. Not a single analyst paid the slightest heed for the next ten years! The company made great efforts to get Wall Street's attention, and finally it got noticed by a small investment outfit called Underwood, Neuhaus. Shearson was the first major brokerage firm to show an interest, and that was in 1982. By then the stock was a five-bagger.

True, you could have more than doubled your money once again by buying SCI at \$12 a share in 1983 and selling it at the \$30³/₈ high in 1987, but that's not quite as exciting as the fortybagger you'd have had if you'd invested back in